“US WELFARE SPENDING OUT OF CONTROL”: WHY THAT’S NOT REALLY TRUE AS IT SEEMS

Presented by Funina Wu

It’s a very bold title statement I’m making there. But evaluating that claim isn’t as easy as it seems.

First, what’s “welfare spending”? Here, it means money spent through social programs, with benefits depending on factors like income and financial need. Examples include Medicaid, Social Security, and Unemployment Insurance.

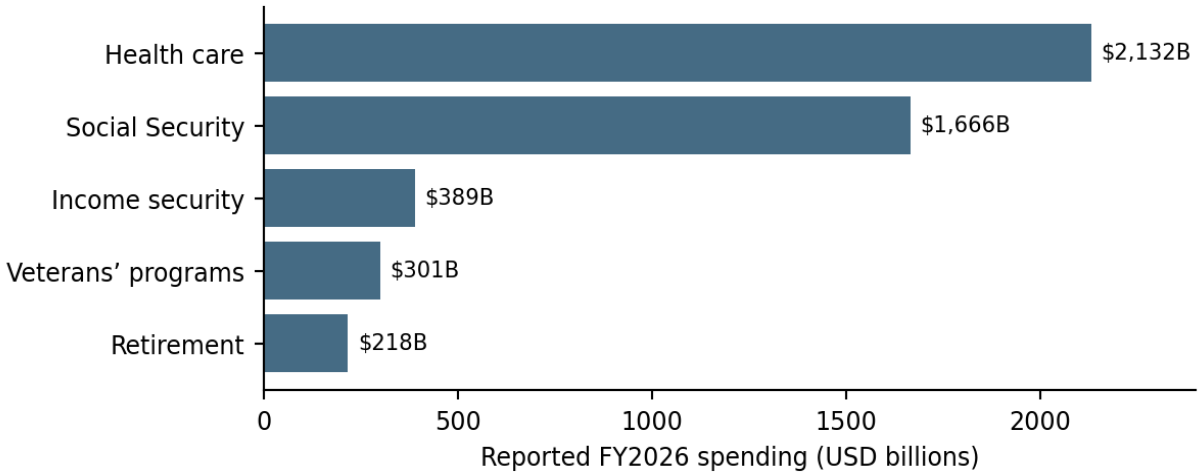
Secondly, what does “out of control” mean? It’s a budget, not a wild beast. Maybe it’s like a plant growing too big for its pot, but no one has figured out how to prune it effectively. Here, the measurable definition is that welfare spending is the largest expense in the federal budget.

Here are five interesting points that may change how you view welfare spending in the context of the US government system. This analysis draws on FY2026 spending calculations, historical comparisons, and social-policy research.

1. Welfare Spending IS a major government expense.

For FY2026, the government spends approximately $4.706 trillion on welfare-related expenditures, including health care, Social Security, income security, retirement, and veterans’ programs.

Chart 1. Welfare-Related Spending by Category



This chart was assembled using data from the US Government's Federal Budget Explorer, which lets people view the budget in sections, with money totals for each.

Health care and Social Security represent approximately 80.7% of this total. The figures show the scale of social programs, though not all benefit only low-income people; some benefit participants regardless of income.

2. Mandatory Spending ISN'T ALL WELFARE SPENDING

Surprise. The government also has other things it is required to spend money on every year. Unlike discretionary spending, which is decided annually, mandatory spending follows existing legislation and eligibility rules.

Approximately $4.121 trillion goes to listed mandatory expenditures, including Medicare, Social Security, veterans' benefits, and federal retirement. Medicare accounts for $1.792 trillion and Social Security for $1.604 trillion. Together they represent roughly 82.4% of these expenditures—a large share of continuing obligations, but not all of them.

Source: Government Spending Explorer | USAspending

3. Mandatory spending ≠ Welfare Spending

Mandatory spending describes how spending is funded; welfare spending describes its purpose. Medicare and Social Security appear in both categories, reflecting two ways to classify the same programs.

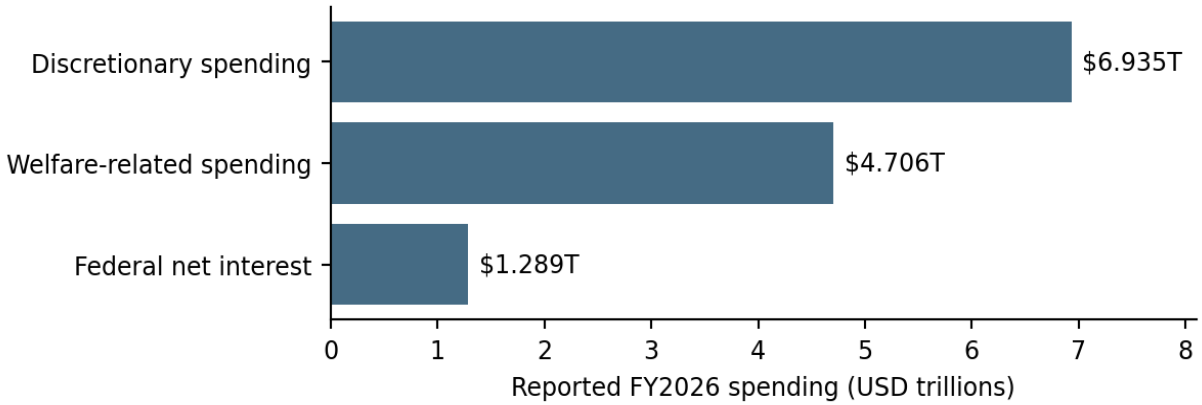
Welfare benefits also vary by purpose and eligibility. A Brookings study found that adjusting for local living costs substantially narrowed differences in cash and food assistance across groups of states. A 2026 update again documented variation.

Welfare spending isn't a fixed amount of money for everyone; it changes substantially based on factors like people's income, cost of living, and more.

4. Is Welfare Actually the Largest Expense?

Exploring the Congressional Budget Office's Budget and Economic Outlook for 2026–2036, the research reports approximately $6.935 trillion in discretionary spending, $4.706 trillion in welfare-related spending, and $1.289 trillion in federal net interest expenses for FY2026.

Chart 4. Comparison of Reported Government Expenditures



Reported categories overlap and use inconsistent budget definitions; this is not a verified federal-budget ranking.

At face value, discretionary spending exceeds welfare and net interest. Interest is also a substantial obligation independent of social programs. Welfare-related spending

overlaps with mandatory and potentially discretionary categories.

The comparison illustrates the reported amounts, but it does not conclusively establish welfare spending as the largest expense in the federal budget.

5. What About the Interest?

Another major federal obligation is annual net interest on the national debt. The government paid approximately $1.289 trillion in FY2026 interest expenses, with a 3.98% effective rate on publicly held debt.

If the rate rose to 5.80%, the long-term average reported from FRED's 10-Year Treasury Constant Maturity Rate data, annual interest expense would rise to $1.881 trillion—roughly $592 billion more.

Higher interest obligations could reduce funding for other programs if total spending and commitments stayed unchanged. This is pressure on the federal budget that is not caused by welfare spending, so focusing exclusively on welfare overlooks another substantial federal financial obligation.

Conclusion

Welfare-related programs are substantial obligations, especially Medicare and Social Security. Yet the findings do not establish welfare as the largest federal expense. Reported discretionary spending, rising interest expenses, and overlapping spending categories prevent a definite conclusion. Under this definition, the claim that US welfare spending is "out of control" remains unproven.